

QUANTIZ' 26

STRAIT OUTTA HORMUZ



WAR ROOM MASTERPLAN

What Matters, What Doesn't and Where Are We Most Exposed?

THE BOARD'S QUESTION

The Hormuz disruption has made a historically efficient network more expensive and less predictable. Management does not want a list of affected shipments or a ranking of routes. It wants to know: Where does disruption become a business problem, which evidence actually matters, and what should the company change?

Your job is not to analyse everything. Your job is to identify what deserves a decision.

The Situation

Your company manages a diversified shipment network serving customers across multiple regions and product categories. The Strait of Hormuz has historically provided an efficient corridor for a significant part of the company's business. During the 2026 disruption, however, the economics of that network changed quickly.

The disruption did not create one single problem. It created a chain of effects: some shipments were rerouted, some remained exposed to the disrupted corridor, some incurred higher freight and fuel costs, some attracted higher insurance costs, some missed DIFOT commitments, and some remained held in the Gulf with revenue not yet recognised. At the same time, the contracted freight revenue on the underlying business was largely fixed.

This creates the central commercial tension of the case: the company cannot assume that a higher logistics cost can immediately be recovered through price. A route can therefore be operationally feasible but commercially unattractive; a more expensive route can be strategically justified for a critical customer; and a shipment with apparently attractive revenue can still destroy margin once delay, insurance and service consequences are included.

The Analytical Problem

The management team has intentionally not prescribed a single analytical method. The dataset contains operational, financial, customer, product, service and risk variables. Some will materially change the decision. Others may be interesting but irrelevant to the decision at hand.

YOUR FIRST TASK: DECIDE WHAT IS RELEVANT

Before building charts, decide what evidence is necessary to answer the board's question. Do not assume that the largest volume, highest revenue, cheapest route, longest delay, or highest insurance cost is automatically the most important exposure. Explain why the dimensions you use are decision-relevant.

The Central Question

“Where are we most exposed and where does that exposure become a business problem?”

A strong answer should connect at least three levels of thinking:

- **Operational:** What changed in routes, transit times, service performance and cost-to-serve?
- **Commercial:** Which customers and products absorb the economic impact when revenue is fixed?
- **Strategic:** Which exposures should be accepted, renegotiated, mitigated, diversified or exited before the next shock?

What You Are Given

You will work with the Quantiz_Round2_Enriched_Dataset.xlsx workbook. The shipment-level data covers 5 January to 22 March 2026 and contains 246 shipment records in the main Shipment_Data sheet. The workbook also contains supporting sheets for context, data definitions, data-quality notes, derived metrics and analytical questions.

Dimension	Examples in the dataset	Why it may matter
Operations	Route type, planned/actual transit, delay, DIFOT	Shows service and route consequences of disruption.
Economics	Freight, fuel, insurance, penalties, total cost, margin	Shows how disruption converts into margin compression.
Commercial	Customer, region, customer tenure, contracted revenue	Tests whether exposure is concentrated in strategically important accounts.
Product	Product category, cargo type, cargo value/weight	Tests whether risk and economics differ by cargo profile.
Derived analytics	Cost/ton, revenue/ton, route sensitivity, concentration, insurance burden, delay attribution	Provides additional lenses—but still requires validation and interpretation.

IMPORTANT

The case rewards judgment about data relevance. A sophisticated team may deliberately exclude a variable from the final story, provided it can explain why that variable does not materially change the decision.

The Strategic Tensions You Must Resolve

- **Stay vs. reroute** : Staying on the established corridor may preserve distance economics but can concentrate disruption and war-risk exposure. Rerouting may improve resilience but can increase freight, fuel, transit time and working-capital pressure.
- **Margin vs. customer relationship** : If contracted revenue is fixed, absorbing additional cost protects service and relationships but compresses margin. Attempting to pass through cost may protect economics but can create commercial friction where contracts provide limited flexibility.
- **Service vs. unit economics** : A faster mode may protect DIFOT or customer-critical supply, yet produce very poor cost-per-ton economics. The question is not whether the route is expensive; it is whether the premium is justified for the specific customer/product.
- **Revenue scale vs. exposure quality** : A large customer may be commercially important but not necessarily the largest source of avoidable margin erosion. Conversely, a smaller customer or product may create disproportionate risk because of delays, insurance or route dependency.
- **Short-term response vs. structural redesign** : A tactical route switch can solve the current disruption. It does not automatically solve future concentration, contract, insurance or network-design risk.

Evidence Standards

- Quantify financial impact wherever possible.
- Use rates and unit economics where scale would otherwise distort the comparison.
- Show both the portfolio view and the segment/lane view when they lead to different conclusions.
- State assumptions, exclusions and data treatments.
- Do not confuse correlation with causation.
- Use the pre-crisis Direct route as a benchmark only when the logic of the comparison is defensible.
- Treat derived fields as analytical aids, not unquestionable truth. Validate formulas and denominator definitions.
- A recommendation should have a clear owner, time horizon and trigger/metric.

The best team will not necessarily find the single “worst” route. It will show that different exposures require different responses, protect some, renegotiate some, reroute some, insure some differently, and potentially stop serving some lanes.

Final Question

“What should your company protect, what should it change, and what should it stop doing before the next disruption?”

Your answer must be evidence led, commercially realistic and executable